TRANSPORTATION

Nevoya raises $9.3M as its EV truck fleet reaches cost parity with diesel

IMAGE CREDITS: NEVOYA

Sean O'Kane — 6:00 AM PDT · July 22, 2025

Los Angeles-based Nevoya came out of stealth last year with the ambitious goal of breaking the EV truck adoption logjam. Nevoya made enough progress on its goal to attract investors — and a $9.3 million seed round — to help it move even faster.

The young company, which buys electric trucks and offers them to shippers, is now carrying goods for 10 different Fortune 500 companies. More importantly, it's offering services as a carrier to those companies in California at cost parity with similarly sized diesel trucks.

It's a noteworthy accomplishment, especially at a time of increasing anti-EV headwinds — fueled by an administration that has publicly criticized green energy.

Founder Sami Khan is unfazed.

The idea of lowering carbon emissions is still attractive to the Fortune 500s, Khan told TechCrunch. Khan said he also believes Nevoya is just running a much faster, leaner, and better carrier business than legacy operators — in large part by leveraging AI.

Nevoya applies AI to optimize trucking routes, and matching and balancing loads with the right trucks to maximize efficiency while minimizing energy consumption. The company also uses AI to help

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sort out charging schedules and battery management.

"When we started running the trucking business," Khan said, "we looked at what [everybody was] doing, and we meticulously looked at every minute-by-minute of what was going on. We came to the conclusion that 90% of what was going on could be automated or semi-automated."

Khan said Nevoya's automation has been getting information to drivers faster, with fewer mistakes than humans would make. He also said that leveraging AI is not replacing dispatchers, but rather freeing them up to better communicate with Nevoya's customers.

The "go big" funding conundrum

Khan expects to keep growing this model thanks to Nevoya's new seed round — a fundraising effort that was initially much more conservative.

Late last year, with a pre-seed round in the rear view mirror, and some early traction building Nevoya's all-electric trucking fleet, Khan found himself weighing options for how to grow his company: Do an inside round with existing investors? Or go bigger?

That's when Khan spoke with Shawn Xu from Lowercarbon Capital. Xu had introduced Khan and co-founder John Verdon (the former business development head of Waymo) and had followed Nevoya closely, but had not yet invested. Xu's message was clear: Go for it.

"[Xu] basically said, like, no, no, no, do a big round now. We're going to lead it, and we're going to run with it," Khan said. "It was, really validating, frankly, to have an investor that in the first round said 'we're going to sit on the sidelines,' then come in and preempt the next round."

Lowercarbon ended up leading Nevoya's $9.3 million seed round, which just closed, Khan told TechCrunch in an exclusive interview. Floating Point and LMNT Ventures also joined, along with existing investors Third Sphere, Stepchange, and Never Lift. Qasar Younis, the founder and CEO of buzzy self-driving AI company Applied Intuition, also invested.

That funding will go toward expanding Nevoya beyond California into new states like Texas. The company is already hauling freight in Houston and Dallas.

A Texas expansion

That will help Nevoya generate more revenue, though Khan was quick to point out that there is a lot of work to be done in these new markets before they can also reach cost parity with diesel trucks. He also said Nevoya has to be more creative with how it manages its fleets in places like Texas because there is less charging infrastructure.

That involves workarounds like charging the trucks overnight at stations typically meant for passenger vehicles, or at school bus depots when the chargers aren't in use.

Khan framed this as a win-win. These locations get extra revenue during off-peak hours, and Nevoya gets to expand quickly with lower up-front cost. He said the plan is to ultimately invest in building out more dedicated charging infrastructure.

To manage this expansion, Khan said Nevoya is leaning on the same model that companies like Uber used as it entered new locations. Nevoya is hiring general managers that will run their own locations like a startup-within-a-startup.

"That kind of competitive element of pitting these incredibly smart, talented general managers against each other is really, really effective in driving that next level of performance for the business," he said.

Xu said he initially held back from investing in Nevoya because he wanted the company to prove it could hit that cost parity with diesel.

"We want to understand the appetite and validation from the market," he remembered thinking. But, he said, he also felt that "a business like this must exist."

As Xu saw Nevoya progressing, he remembered saying to Khan: "What would it look like if you actually raised a lot more than you were expecting to raise?" The two spoke about using more artificial intelligence to optimize their fleet management, while also keeping an eye on an autonomous future (hence the inclusion of Applied Intuition's Younis in the round).

"They're getting lower cost per mile. They're getting lower maintenance costs. The AI orchestration for efficiency on the route optimization is starting to bear fruit," he said. "So yeah, we ended up raising a much larger round that ended up being even more oversubscribed than we had expected. And now we're off to the races."

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IMAGE CREDITS: NEVOYA

Nevoya wants to break the EV truck adoption logjam

Sean O'Kane — 11:36 AM PDT · October 21, 2024

Los Angeles is known for glitz, but there's also a lot of grit in the air — literally. Thousands of containers are moved off and on ships at the area's two major ports every day, almost always transferred via pollution-spewing diesel trucks. This has made Los

that Khan declined to disclose. Nevoya also revealed to TechCrunch that it raised $3 million in a seed round led by Third Sphere and RedBlue Capital, with Necessary Ventures, Ciri Ventures, and Never Lift coming aboard as well.

Nevoya is billing itself as the "first zero-emissions technology and trucking platform" in the U.S. The startup is exclusively buying electric trucks — all Freightliner eCascadias, so far — to offer to shippers who want to move goods cleanly. It's also using artificial intelligence software to optimize the usage, routing, and charging of its trucks, which Nevoya says allows it to keep its prices lower than diesel.

Khan and his co-founders make up a triumvirate of complementary expertise that seems appropriate for such an endeavor. Khan spent a few years at McLaren Applied, the British automaker's innovation arm, but he also spent a half-decade working in private equity. John Verdon led business development and commercial partnerships at Waymo. And Tom Atwood built a predictive analytics startup that sold to supply chain company Project44, where he spent the last two years working on route optimization and infrastructure planning software.

The funding will go toward growing operations, but not to acquiring trucks. Khan said those purchases will be made with debt — a strategy he's comfortable with following his experiences in private equity. Khan believes this approach also makes Nevoya more attractive to investors in an environment where there's still a lot of hesitance around hard tech. While he said his team "kissed a lot of frogs," that process led them to investors like RedBlue — which is run by the former founding partner of transportation startup fund Maniv Mobility, Olaf Sakkers.

"Those guys were people that we had a first conversation with, and within a week it was at a term sheet, because they got it, and they understood," he said. "The size of the pie, and the opportunity, is so, so huge."

Khan stressed that competing with diesel trucks on cost will be hard. But that pressure is mitigated by how easy it has been to strike up conversations with companies that ship goods through the LA area.

"All of these Fortune 500 brands are looking to reduce their Scope 3 emissions (indirect emissions) and effectively have no solutions," he said. With Nevoya, the promise Khan makes to these companies is: "There is no difference to your business, because we take care of the charging. We have the drivers. We have the trucks."

Even as Nevoya is still working to get to cost parity with diesel, Khan said these big companies almost don't care. "They want to decarbonize so badly that they are willing to pay a premium, and so for those [customers], we are actually going out at a rate that is higher than diesel."

"What is so exciting about building this business is that you will get through the door at any shipper in the United States," Khan said. "We have not failed there once — as soon as you say you have electric vehicles, they pick up the phone. They escalate."

As it signs on more companies, Nevoya's software can efficiently piggyback shipments from different customers to get the most out of the electric trucks in its fleet. That helps it lower costs.

Khan said Nevoya is currently hopping around different charging locations — this is another place where the optimization software will really have to shine — but eventually wants to build its own charging infrastructure. At that point, Khan said he could see Nevoya moving into smaller-class trucks, too.

Nevoya is also eyeing geographic expansion in the United States. It's starting that push with a market that is about as different as its home base as one can find: Texas.

Despite the myriad social and political differences, Khan views Texas as a similarly well-suited state to drum up business. It may not have the pot-of-gold incentives like California, but Khan said Texas' looser regulatory framework and cheaper electricity put it on par with the financial modeling his team has done for operating in Nevoya's home state.

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Third Sphere Transportation trucking

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IMAGE CREDITS: TESLA

TRANSPORTATION

Biden admin snubs Tesla's $100 million big-rig charging funding request — again

Sean O'Kane 8:32 AM PST · January 13, 2025

The Department of Transportation announced Friday another $636 million in funding that will be awarded to 49 applicants for electric-vehicle charging infrastructure — and Tesla's application for nearly $100 million to fund a big-rig charging corridor was once again passed over.

Tesla's name was not among the list of recipients released, and its partner on the project, California's South Coast Air Quality Management District, confirmed to TechCrunch the company had applied for this round.

The snub comes as Tesla has struggled to get its electric big rig program up and running. The company has delivered some early versions of the so-called Tesla Semi to customers like Pepsi and Frito-Lay. But its larger commercial program has yet to materialize. The company is still constructing a facility in Nevada where it plans to build its electric semi truck, which was revealed in 2017.

Tesla first requested the funding in 2023 from what's known as the Charging and Fueling Infrastructure (CFI) program, part of a bipartisan infrastructure deal that President Biden signed into law in 2021. At the time, the company was hoping to use that funding, along with $24 million of its own money, to build nine electric semi-truck charging stations between its former headquarters in northern California to the southern border of Texas.

IMAGE CREDITS:TECHCRUNCH

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Each of those stations was supposed to be equipped with eight 750kW chargers for the Tesla Semi, and four other chargers that would be open to other electric trucks — a requirement for federal funding.

The project, officially called "Transport Electrification Supporting Semis Operating in Arizona, California, and Texas," or TESSERACT, was passed over in early 2024 when the Department of Transportation's Federal Highway Administration (FHWA) announced the first round of CFI awards. That first round saw $623 million in funding go to 47 applicants.

The FHWA doled out another $521 million to 51 applicants pulled from the same pool in August 2024. The agency also began accepting applications for a new round of funding in mid-2024.

Tesla continued pursuing the charging corridor idea even after being left out of the first round, TechCrunch reported in April 2024. Former policy VP Rohan Patel said at the time that some of the sites along the 1,800-mile route were "no-brainers even without funding."

The status of Project TESSERACT was unclear following that, though, as Tesla laid off more than 10% of its workforce and, in particular, gutted its charging team.

There could theoretically be another round of CFI funds available, as the bipartisan infrastructure law allocated $2.5 billion for the program. The FHWA's website for the CFI program currently says there is "[n]o estimated date" for the next "notice of funding opportunity," though, and it's unclear what effect the incoming Trump administration's priorities will have on programs like this.

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